people. People in the first group were given $30 in cash and told they had two choices: (1) pocket the money and walk away, or (2) gamble on a coin flip in which if they won they would get $9 extra and if they lost they would have $9 deducted. Most (70 percent) took the gamble because they figured they would at the very least end up with $21 of found money. Those in the second group were offered a different choice: (1) try a gamble on a coin toss: if they win they'd get $39 and if they lost they'd get $21, or (2) get an even $30 with no coin toss. More than half (57 percent) decided to take the sure money. Both groups of people stood to win the exact same amount of money with the exact same odds, but the situation was perceived differently.[6]

The implications are clear: how we decide to invest, and how we choose to manage those investments, has a great deal to do with how we think about money. For instance, mental accounting has been suggested as one further reason why people don't sell stocks that are doing badly: In their minds the loss doesn't become real until it is acted on. It also helps us understand our risk tolerance: We are far more likely to take risks with found money.

Myopic Loss Aversion

Thaler and Benartzi weren't through. Thaler remembered a financial riddle first proposed by the Nobel laureate Paul Samuelson. In 1963, Samuelson asked a colleague if he would be willing to accept the following bet: a 50 percent chance of winning $200 or a 50 percent chance of losing $100. According to Samuelson, the colleague turned down the initial offer but then reconsidered. He would happily play the game, he said, if he could play 100 times and did not have to watch each individual outcome. The willingness to play the game under a new set of rules sparked an idea for Thaler and Benartzi.

Samuelson's colleague was willing to accept the wager with two qualifiers: lengthen the time horizon for the game and reduce the frequency in which he was forced to watch the outcomes. Moving that observation into investing, Thaler and Benartzi reasoned that the longer the investor holds an asset, the more attractive the asset becomes but only if the investment is not evaluated frequently.